

US\$21 trillion

thought to be hidden
in tax havens abroad



INDIRECT TAXES

Other variables

Taxes can be applied to anything. Germany has a tax on dogs and the UK once taxed windows.

Excise duty

Many goods, particularly imported ones, attract an additional tax, known as an excise duty.

VAT 20%

Value Added Tax adds an extra 20 per cent on top of the cost of a product or service.



NEED TO KNOW

- **Tax return** A document used to record individual and company income and calculate the tax due.
- **Tax rate** The amount at which an individual or a company is taxed; rates vary according to a person's income or a company's returns.
- **International agreements** Contracts that act as a restraint on taxation, such as in stopping import duties from being levied.

TAX EVASION AND AVOIDANCE

Because tax systems vary widely from country to country, it is possible for companies and some rich individuals to exploit the differences in international tax rates to reduce the total amount of tax they pay. This is termed tax "evasion" when done illegally, and tax "avoidance" when performed legally, although in practice the boundaries are blurred. Some jurisdictions deliberately set very low tax rates to attract investment; some also provide secrecy around the identity of those investing there. This has led to accusations that such areas are acting as "tax havens". This means that, instead of providing a legitimate location for economic activity, they are allowing major corporations and the very wealthy to avoid paying taxes they should be paying.

